

more. “Our new assembly and test location in India will enable Micron to expand our global manufacturing base and better serve our customers in India and around the world,” Sanjay Mehrotra, CEO of Micron Technology, had said when the deal was announced.

“The product it focusses on—memory—goes to directly feed the electronics ecosystem that is being built in India,” says Rajeev Chandrasekhar, Minister of State for Electronics and Information Technology (MeitY). “It will be an input in smartphones, and the servers and data centres that the IT hardware PLI is focussed on. So, it is a very important part of the electronics and semiconductor ecosystem.”

While the announcement came during Modi’s visit to the US, the deal had been in the works for long. Indeed, right before the Prime Minister’s visit, Union Minister Ashwini Vaishnaw made a three-day trip to meet the leading stakeholders in the ecosystem to help them understand India’s vision, build trust, and impress upon them that the country means business this time around.

Other than meeting Micron’s CEO, PM Modi also met Gary E. Dickerson, President and CEO of Applied Materials. After that, the company announced it will invest \$400 million over four years to establish a new centre in India. Even Lam Research, the leader in semiconductor manufacturing equipment, has committed to training 60,000 Indian engineers in nanotechnologies over a 10-year period.

“The Indian top brass inviting key players and meeting them personally sends a strong statement [that] India [is] serious about being an alternative to China and other key markets on which the entire supply chain heavily relies,” says Neil Shah, Vice President of Research at Counterpoint.

While there was some rejoicing, India is yet to receive a proposal from any of the leaders in this space

A NEW BEGINNING

\$30

BILLION

► **Micron’s revenues in 2022. It is among the Top 5 semiconductor manufacturers, and has the right financial, business and operational resources to execute the Gujarat project**

\$2.75

BILLION

► **The investment expected in the assembly and packaging plant to be set up by the US-headquartered memory chip giant in Gujarat**

50

PER CENT

► **The fiscal support from the Indian central government for the total cost of the project. Micron will invest \$825 million, and the state government will provide incentives of 20 per cent**

5,000

DIRECT JOBS

► **The Micron plant is also expected to create around 15,000 community jobs over the next few years**

for setting up silicon fabrication units. The likes of TSMC, Samsung, and Intel are nowhere in sight. However, sources at MeitY confirmed to *Business Today* that after the revision of the PLI scheme and reopening of applications, some well-established players are showing interest. The joint venture between Vedanta and Foxconn, for instance, which they claim has a credible technology partner in 40 nanometer node, has submitted its application again.

Business Today has also learnt that Japan’s Renesas Semiconductor—a leader in microcontrollers, analogue, power and system-on-a-chip products—is keen on investing in India. Renesas CEO Toshi Shiabata even met PM Modi in May. It has partnered with Tata Motors and Tejas Networks, and has acquired India’s Steradian Semiconductors.

Meanwhile, even Tata group is seriously looking at semiconductor manufacturing, through its green-field venture Tata Electronics.

However, one company is clearly not jumping at this opportunity: Intel. In June, it committed to building a \$33-billion chip manufacturing site in Germany, followed by \$4.6 billion for an assembly and testing facility in Poland. Nonetheless, India’s slow progress towards becoming a chip hub has received a boost with firms like Micron reposing faith. “Micron’s plan to set up assembly and test in India is a very big milestone because it signals to the world that our semiconductor ecosystem is coming of age. This is a \$3-billion investment—not an insignificant [amount]—and an important product line as well. It is a big signal to the world,” adds Minister Chandrasekhar.

But persistence will be key. Unlike other sectors, semiconductors require heavy investments. And results can’t be expected in months or even a couple of years. This is a long journey, with results likely to be visible only in five–10 years. **BT**

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